

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

SM LINE CORPORATION, *Respondent*.

DOCKET NO. 23-01

Served: January 24, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER REGARDING DISCOVERY MOTIONS [DKT. NOS. 40, 41, 42, 43, 44, AND 51]

This order resolves the following discovery related motions as set forth below:

Dkt. No.	Date Filed	Filer	Relief Requested	Disposition
40	1/5/2024	SDS America, Inc.	Quash or Modify Subpoena, or Alternatively for a Protective Order	Granted in part
41	1/12/2024	Complainant	Quash Notice of Deposition or, in the Alternative, for a Protective Order	Granted in part
42	1/12/2024	Complainant	Confidential Treatment of Dkt. 41	Granted
43	1/12/2024	Respondent	Extension of the Scheduling Order	Granted in part
44	1/12/2024	Respondent	Confidential Treatment of Dkt. 45	Granted
49	1/19/2024	Respondent	Confidential Treatment	Denied as moot
51	1/22/2024	Respondent	Confidential Treatment of Dkt. 52	Granted

Motions for Confidential Treatment [Dkt Nos. 42, 44, 49, and 51]

On January 12, 2024, Complainant Samsung Electronics America, Inc. filed a motion [Dkt. 42] under 46 C.F.R. § 502.5(b) seeking confidential treatment of portions of its motion to quash the notice of deposition of its corporate designee [Dkt. 41]. In support of its motion, Samsung states that portions of the exhibits attached to the motion contain confidential commercial information related to Samsung and to Respondent SM Line Corporation, including SM Line's service agreement and contracts. The exhibits also contain contact information for witnesses. SM Line did not file an opposition to the motion.

Also on January 12, 2024, SM Line filed a motion [Dkt. 44] for confidential treatment of portions of its response to nonparty SDS America, Inc.'s motion to quash or modify subpoena [Dkt. 45]. In support of its motion, SM Line states that its response references documents that have been exchanged between the parties in discovery subject to a confidentiality agreement, and which contain references to bills of lading, payments, and contractual terms that are subject to confidentiality provisions and which, if disclosed, would harm the commercial interests of the parties.

On January 22, 2024, SM Line filed a motion [Dkt. 51] seeking confidential treatment of portions of its amended response to Samsung's motion to quash [Dkt. 52], which replaced a previously filed response that was also the subject of a motion for confidential treatment [Dkt. 49]. In support of its motion, SM Line states that certain exhibits attached to its response were exchanged pursuant to a confidentiality agreement between the parties.

Upon review of the confidential versions of each of these filings, I find the parties have shown good cause for confidential treatment by demonstrating that the filings contain commercial information pursuant to 46 C.F.R. § 502.141. The motions are therefore **GRANTED**; with the exception of Dkt. 49, which is **DENIED AS MOOT**. The Office of the Secretary is requested to treat the designated information in the following documents as confidential:

Dkt.	Date Filed	Confidential Document
41	01/12/2024	Complainant's Motion to Quash Notice of Deposition or, in the Alternative, for a Protective Order
45	01/12/2024	Respondent's Response to Non-Party SDSA America's Motion to Quash (public version)
52	01/22/2024	SM Line Corporation's Amended Response in Opposition to Samsung Electronics America's Motion to Quash (Public Version)

Complainant's Motion to Quash Notice of Deposition or, in the alternative, for a Protective Order [Dkt. 41]

On January 12, 2024, Complainant Samsung Electronics America, Inc. filed a Motion [Dkt. 41] to Quash Notice of Deposition or, in the Alternative, for a Protective Order. Samsung objected to SM Line Corporation's notice of deposition of Samsung's corporate designee as untimely. In support of its motion, Samsung pointed out that numerous courts have found one week to be insufficient time to prepare a corporate designee for a deposition in a complex commercial dispute, finding ten days to be the consensus as to a reasonable minimum. Here, SM Line sent notice on January 10, 2024 for a January 17, 2024 corporate deposition – leaving four business days to prepare given the intervening federal holiday. In consideration of the breadth and diversity of the topics listed in the deposition notice, and the fact that multiple depositions were already scheduled for each of the intervening days, the notice was unreasonable.

SM Line counters that various federal district courts, including the District of Columbia, have local rules establishing one week as an acceptable minimum notice and that in certain

circumstances courts have found less time to be acceptable. Since SM Line emailed Samsung on December 20, 2023, stating its intent to note a corporate deposition, and since the witness already scheduled for January 17, 2024 had already served as Samsung's corporate designee in a prior case, the notice was reasonable. Furthermore, given the rapidly approaching close of discovery on January 19, 2024, there were no other dates available.

Although characterized as a motion to quash, I will treat Samsung's motion as a motion for a protective order under Commission Rule 141(j), which is the appropriate vehicle for a party seeking relief from a notice of deposition under Rule 143(b)(6). Rule 143 requires a party seeking to depose a person to provide "reasonable written notice" to every other party. 46 C.F.R. § 502.143(b)(1). The Rule does not define "reasonable." Where a situation is not covered by a specific Commission Rule, the Federal Rules of Civil Procedure are followed to the extent consistent with sound administrative practice. 46 C.F.R. § 502.12. The federal rules are also silent on "reasonable" notice for a deposition. FRCP 32 does state that a deposition taken on less than 14 days' notice is "on short notice," and provides that such a deposition may not be used against a party when the party has filed a motion for a protective order and the motion is still pending at the time of the deposition. FRCP 32(a)(5)(A). But the rule does not prohibit such short-notice depositions, and District of Columbia Local Rule LCvR 30.1 establishes 7 days as presumptively reasonable, which may be lengthened or shortened by the court for good cause. So while the federal rules seem to suggest that at least two weeks' notice is a best practice, it cannot be said that the notice in this case – seven days – is *per se* impermissibly short.

Whether notice is impermissibly short in a particular case is a fact-sensitive inquiry. *In re Sulfuric Acid Antitrust Litig.*, 231 F.R.D. 320, 327–28 (N.D. Ill. 2005). Relevant considerations include the complexity of the case, the number of deponents' (and lawyers') schedules to coordinate, preparation required, and travel. Courts have found three business days unreasonable given attorneys' busy litigation schedule, two weeks unreasonable where there are 85 depositions to prepare for, and four days unreasonable when travel is necessary. *Id.* On the other hand, one day might be sufficient where the parties are on an expedited discovery schedule, the need for a deposition arises suddenly, and the deposition is conducted remotely. *See Charm Floral v. Wald Imports, Ltd.*, No. C10-1550-RSM, 2012 WL 424581 at *2 (W.D. Wash. Feb. 9, 2012).

For a deposition of a corporate designee, the rules also require notice of the topics for the examination. 46 C.F.R. § 502.143(b)(6). A corporate deposition is fundamentally different from an individual deposition – the witness is obligated not only to speak on his own personal knowledge, but also to all information reasonably available to the corporation and within the scope of the notice. This is why I do not find SM Line's argument that it provided "informal notice" on December 20, 2023 persuasive. There is no evidence that SM Line provided Samsung with notice of the topics for the corporate deposition until January 10, 2024 – without this information, the notice is really no notice at all because the party does not know which witnesses to designate or how to prepare them. Such preparation may include extensive review of documents, discussions with other employees with personal knowledge, or even formulation of corporate positions on subjective matters, which are fair topics for such a deposition.

This preparation takes more time than a typical fact witness. Particularly where the topics in the notice are broad and varied. Samsung points out that there are 29 topics listed on SM Line's deposition notice, and while there is nothing magical about such numbers (which usually

have as much to do with our profession's tendency to wordiness as to a case's complexity), the notice does encompass a wide range of different topics – not only the inland movements of containers imported to the United States, but also commercial agreements with sellers, manufacturers, and buyers, employment practices, corporate organization, financials, impacts of COVID-19 pandemic on operations, organization, and personnel, and a request for “policies and procedures related to overall business decision making processes and any other financial or operational decisions,” which seems like a way of saying “everything.”

It is easy to see in such a case that the designee could be more than one person, or one person with extensive preparation not possible on four business days' notice. And just because the individual already scheduled for deposition on January 17, 2024 had been identified in Samsung's initial disclosures as having discoverable knowledge does not mean he has all the discoverable knowledge SM Line wants to ask about. Nor may we assume that Samsung wants him to speak on behalf of the corporation just because he did so in the past. Combined with the other depositions, the intervening holiday weekend, and travel, SM Line's notice did not provide a reasonable amount of time. In December 2023, the parties exchanged several iterations of a calendar for the overall deposition schedule, with no Samsung corporate designee blocked in, and were discussing SM Line's corporate designee, in terms of timing and topics, at least as early as December 14, 2023. See Samsung Mot. to Quash, Ex. B, pp. 24-26, 27-28, and 35-36. SM Lines' notice – including the topics for examination – should have been part of that conversation.

Samsung's motion for a protective order [Dkt. 41] is therefore **GRANTED IN PART**. January 17, 2024 has already passed, and the parties have not informed me if the deposition occurred. If Samsung did make a witness or witnesses available for the scheduled deposition on that date, then no further corporate deposition of Samsung is necessary or permitted. If the corporate deposition did not occur, this order is without prejudice to SM Line taking the deposition during the extended discovery period (see below). I encourage the parties to cooperate in scheduling this deposition – and since Samsung now has notice of the topics, one week's notice will be deemed sufficient if they cannot agree on something earlier.

Samsung SDS America, Inc.'s Motion to Quash or Modify Subpoena [Dkt. 40]

On January 5, 2024, nonparty Samsung SDS America, Inc. filed a motion seeking to quash SM Line's subpoena for documents. Samsung SDS argues that SM Line's subpoena is vague because it does not specifically identify the shipments about which it seeks information. And while SM Line acknowledges the subpoena does not contain a list of shipments, it argues that it does not have such a list, and that Samsung nevertheless correctly ascertained that the subpoena sought information regarding Samsung Electronics America shipments from 2020-2021 that shipped on “store door” or carrier haulage terms.

Samsung SDS also argues that the subpoena's request for corporate and financial information is unrelated to the issues in the case and that the disclosure of this information would “severely prejudice” the company. SM Line counters that the information is necessary to understand the relationship between Samsung SDS and Complainant, which SM Line contends is necessary to understand “what if any damages are appropriately claimed in this proceeding.”

Under Rule 132(a), a person to whom a subpoena is directed may move to quash or modify the subpoena. Under FRCP 45, a court must quash or modify the subpoena where it subjects a person to undue burden and may do so where it requires disclosure of trade secrets or confidential research, development, or commercial information. Samsung SDS claims the subpoena is burdensome because it does not list the specific shipments about which it seeks information, but presents no authority for the proposition that a party seeking discovery regarding a class of business transactions must individually list each such transaction. The subpoena, by way of reference to the complaint, identifies the time period of the transactions, the parties involved, and the terms – and Samsung SDS’s motion acknowledges as much.

Samsung SDS’s assertions of the burden of compliance are vague and overblown. It argues that it must conduct an “extensive search of its email system,” which could presumably be as simple as identifying potential custodians – which it asserts it has already done – and utilizing the built-in search functionality of its email system. The “numerous...entities and persons” appear to be precisely two entities – the parties in this case, along with their employees, who presumably have email addresses connected with those parties. As for the “unidentified parties,” it appears from the documents attached to SM Line’s response to Samsung SDS’s motion as Exhibit A that Samsung SDS’s practice was to copy SM Line and/or Samsung Electronics America on communications with these parties, such that additional searching may not even be necessary. And Samsung SDS’s complaint about the breadth of the request language is nothing more than a reflection of the tendency of lawyers serving subpoenas and discovery requests to list out the various types of documents that might be related to a topic, rather than simply saying “all related documents” – the documents identified by SM Line would appear to be of the type normally connected to responsive emails or retrievable from electronic recordkeeping systems using built-in search functionality. If they are not, then that is what Samsung SDS should have explained in its motion because such considerations are relevant to weighing the relative expense and benefits of discovery. But as it stands, in the era of electronic recordkeeping systems and searchable email, the argument that a request identifying the relevant time period and specific parties is overly burdensome – without more detailed information about why Samsung SDS could not efficiently search for such information or what the costs and burdens of such a search would be – does not stand up.

As for the corporate information requested in items 14-17, Samsung SDS is correct that these requests are overly broad. In its response to Samsung SDS’s motion, SM Line argues that it requires this information to understand the purported integration of Samsung SDS and Complainant with respect to “the process of securing vendors and handling Samsung products” and payments from Complainant to Samsung SDS. As to the payments, such information would be reflected in Samsung SDS’s response to items 18-19, and would also be available from Complainant. As to the purported integration of the companies, requests for “all...shareholder and board of director information for the last four (4) years” and “all...audited financial statements,” etc., are overbroad because they do not relate to the subject matter of the case. The motion is therefore **GRANTED IN PART** to the extent that the subpoena is **MODIFIED** as follows: Samsung SDS need only respond to items 14-17 to the extent such documents directly reflect the process of handling Samsung products being imported into the United States and being distributed or delivered to the customers of Complainant.

Respondent's Second Motion to Extend Discovery [Dkt. 43]

On January 12, 2024, Respondent SM Line filed a motion seeking a one-month extension to the Scheduling Order. Complainant opposes the request. The first reason cited for an extension is the deposition schedule. Although it opposes the motion, Complainant acknowledges that additional depositions need to be taken after the end of fact discovery on January 19, 2024. Both parties backloaded their depositions such that they gave themselves no slack in the discovery schedule for unforeseen circumstances, such as additional depositions that might become necessary given testimony of other witnesses. See Complainant's Opp'n to Respondent's Second Mot. for Extension of the Scheduling Order, pp. 1-2, fn. 2. Based on Respondent's representations, it appears these depositions could be completed no later than the week of January 29, 2024.

The second basis for extending the scheduling order is anticipated delays related to Samsung SDS America's motion to quash Respondent's subpoena (see above). Respondent's May 12, 2023 Answer in this case reflects its knowledge that Samsung SDS and other entities were involved in the transactions at issue. See Answer, p. 8. Samsung waited until Friday, December 22, 2023, at 11:15 PM to request the subpoena. Given Respondent's knowledge of the involvement of this entity and of the discovery schedule, Samsung SDS America's motion to quash does not constitute good cause to extend the scheduling order.

The final basis for an extension is the purported difficulty in preparing expert reports by the current deadline. The first time Respondent requested an extension to the Scheduling Order, I held a status conference at which I urged the parties to carefully consider their discovery needs, come up with a realistic plan, and submit an amended request for an extension. The time period for expert reports in the current scheduling order reflects that consideration and request (as subsequently extended by a consent motion), and there is nothing in Respondent's current motion that constitutes good cause for a further expansion of this timeframe.

I am conscious of the need to ensure an adequate record for decision in this case – but I must weigh that consideration against the need for expeditious resolution of potential Shipping Act violations. Based on these considerations and the representations of the parties, the motion for an extension [Dkt. 43] is **GRANTED IN PART** and the scheduling order is modified as follows:

February 7, 2024	Complete fact depositions
February 8, 2024	Expert discovery begins
February 28, 2024	Close of all discovery
March 28, 2024	Complainant's brief, proposed findings of fact, and appendix
April 29, 2024	Respondent's opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix

May 13, 2024

Complainant's reply brief and responses to proposed findings of fact

No further extensions to the schedule for the purpose of discovery will be granted absent truly extraordinary circumstances.

**Alex Michael
Chintella**

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Michael Chintella
Date: 2024.01.24 10:37:45
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Alex M. Chintella
Administrative Law Judge